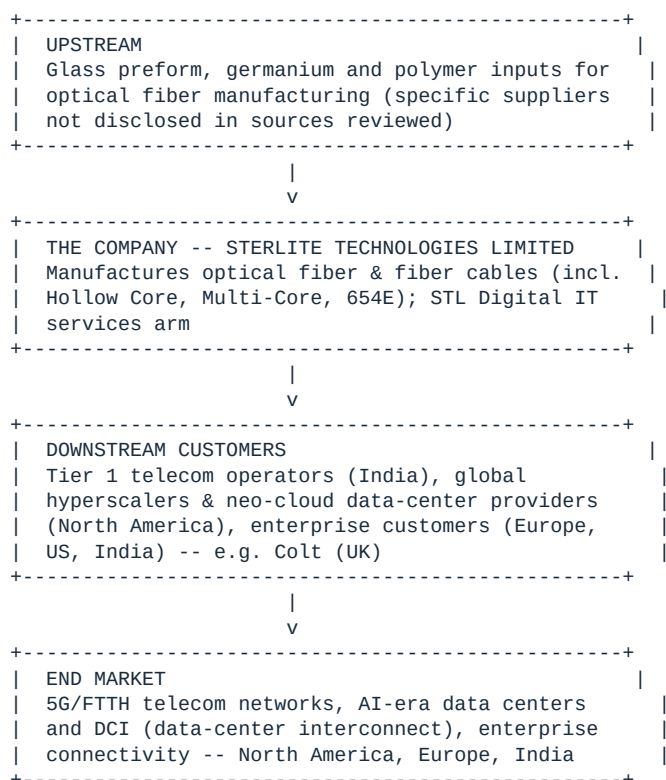


Sterlite Technologies Limited

Sterlite Technologies Limited (STL) was established in July 2001 following the demerger of Sterlite Industries Ltd's telecom division, and describes itself as the largest optical fiber and optical fiber cable manufacturer in India, with a global market presence built over 30+ years, a patent portfolio exceeding 780 filings, and more than 10 zero-waste manufacturing facilities worldwide. It is listed on the BSE (532374) and NSE (STLTECH). As of 10 July 2026 it had a market capitalization of approximately Rs. 27,907 crore (screener.in).

Value Chain Positioning

STL manufactures optical fiber and optical fiber cables with full vertical integration "from glass preform to pre-terminated assemblies," selling to telecom operators (Tier 1 operators in India under long-term contracts), global hyperscalers and "neo cloud" data-center providers (predominantly North America), and enterprise customers across Europe, the US and India. A separate business line, STL Digital, provides IT/digital engineering and analytics services. The company avoids the commodity spot market, focusing instead on long-term, often co-developed product partnerships with select customers.



Near Term (Next 1 to 2 Quarters)

- **Record FY26 Order Inflow Delivered** [Delivered]: FY26 order inflows more than doubled to Rs. 7,687 crore, up 109% YoY versus Rs. 3,672 crore in FY25, driven by large-scale North America data-center wins and long-term Tier 1 India telecom orders. "In FY26, order inflows more than doubled to INR 7,687 crores, up 109% year-on-year as compared to INR 3,672 crores in FY25."
- **Order Book Execution Into Q1 FY27** [Pending]: Of the Rs. 7,309 crore open order book, Rs. 1,468 crore is slated for execution in Q1 FY27, with the balance scheduled for Q2 FY27 and beyond. "Of this, INR 1,468 crores are slated for execution in Q1 FY27, while the remaining order is scheduled for execution over Q2 FY27 and beyond."

Medium Term (6 to 12 Months)

- **Enterprise & Data Center Segment Mix Target Upfronted** [Pending]: Management guided the Enterprise & Data Center segment to scale up to 30% of FY27 revenue (from 19% in FY26), pulling forward a target previously guided on a 12-18 month timeline. "we expect the Enterprise and Data Center segment to scale up to 30% of revenues in the current fiscal."
- **~Rs. 500cr Capex for Data-Center Asset Base** [Pending]: Management guided approximately Rs. 500cr of near-term capex focused on technology leadership and upgrading the asset base for high-value data-center portfolio offerings. "we are looking at a capex of about INR 500 crores."

Long Term (1+ Years)

- **20% Reported EBITDA Margin Target by FY27** [Pending]: Management reiterated guidance to reach 20% reported-level EBITDA margin by the end of FY27, up from FY26's actual 13.2%. "continues to expand in line with our guidance of 20% at reported level by end of the current fiscal."
- **Deleveraging Ambition Tightened** [Pending]: With net debt/EBITDA already at 1.3x (comfortably below an earlier 2x target), management has set a revised ambition of moving below 1.2x. "net debt to EBITDA at 1.3x, comfortably below our earlier target of 2x with a revised ambition of moving below 1.2x."
- **AI-Led Data Center Demand as a Structural Multi-Year Driver** [Pending]: Management frames AI-driven data-center buildout as the dominant long-term demand driver for its core optical business. "As per sources by 2030, nearly 70% of data center demand will be AI-led, driving a sharp increase in capex and infrastructure intensity."

Note on a major post-call development: on approximately 23 May 2026 (after the 29 April 2026 Q4 FY26 call cited above), an STL subsidiary announced a Product Award Letter from a major hyperscale partner for a multi-year optical connectivity supply framework spanning FY27-FY29, with an estimated total potential value of approximately USD 1.11 billion, including a reciprocal risk-sharing structure capping both parties' liability for demand shortfalls or supply constraints. This is sourced to secondary news coverage, not a directly-quoted primary transcript (it postdates the cached concall), so it is not presented as a formal status-pointer outlook bullet — but it is a material data point for the Enterprise & Data Center segment target above and is reflected in the Capex/Milestones timeline below.

Marquee & Niche Customers

- **Colt (UK):** Named operator customer; STL's Multi-Core Fiber (MCF) technology was validated through successful trials with Colt, described as a leading UK operator. (Source: Q4 FY26 concall, 29 Apr 2026)
- **Unnamed major hyperscale partner:** Subject of the ~USD 1.11bn multi-year optical connectivity framework for AI data-center build-outs (FY27-FY29); counterparty name not disclosed in the sources reviewed. (Source: secondary news coverage, ~23 May 2026)
- **Tier 1 telecom operators (India):** Named as a source of long-term orders driving FY26's record order inflow; specific operator names not disclosed. (Source: Q4 FY26 concall, 29 Apr 2026)
- **New UK-based healthcare client (STL Digital):** Added in Q4 FY26 for the company's separate IT-services business, which closed FY26 with 35 total clients (9 new logos added during the year). (Source: Q4 FY26 concall, 29 Apr 2026)

No customer-concentration percentage was disclosed for the core optical fiber/cable business. **Customers' own guidance:** no independently disclosed capacity or demand guidance from Colt or any named hyperscale partner was found in the sources reviewed, beyond the contract/trial announcements themselves.

Capex, Milestones & Certifications Timeline

Date/Quarter	Milestone	Status	Amount	Source
FY26 (during the year)	Launch of 654E fiber platform; secured first commercial order	Achieved	—	Q4 FY26 concall, 29 Apr 2026
FY26 (during the year)	Launch of India's first Hollow Core Fiber (HCF) cable (30-47% lower latency)	Achieved	—	Q4 FY26 concall, 29 Apr 2026
Data Center World 2026 (US)	Launch of Neuralis, AI-era data-center connectivity portfolio, supported by local manufacturing in South Carolina	Achieved	—	Q4 FY26 concall, 29 Apr 2026
FY26 (during the year)	India's first quantum key distribution over Multi-Core Fiber; live 100km test; first global aerial + underground MCF deployment	Achieved	—	Q4 FY26 concall, 29 Apr 2026
~23 May 2026	Product Award Letter from major hyperscale partner — multi-year optical connectivity framework, FY27-FY29	Achieved (framework signed; POs released periodically)	~USD 1.11bn (potential total value)	Secondary news coverage, 23 May 2026
Near-term	Capex for technology leadership / data-center asset base upgrade	Planned	~Rs. 500cr	Q4 FY26 concall, 29 Apr 2026
By end of FY27	Reported EBITDA margin target of 20%	Planned	—	Q4 FY26 concall, 29 Apr 2026

Certifications: no specific named certification standard with a certification date was found in the sources reviewed, beyond the company's own description of operating "10+ zero waste manufacturing facilities worldwide."

Financial Performance Summary

Fiscal Year	Revenue (Rs. cr)	YoY Growth	EBITDA Margin	PBT (Rs. cr)	PAT (Rs. cr)	PAT Margin
FY22	5,437	—	12%	97	45	0.8%
FY23	6,925	+27.4%	13%	211	127	1.8%
FY24	4,083	-41.0%	12%	-62	-57	-1.4%
FY25	3,996	-2.1%	10%	-156	-123	-3.1%
FY26	4,745	+18.7%	12%	107	56	1.2%

Source: screener.in consolidated results. FY24-FY25 mark a two-year downturn (revenue nearly halved from the FY23 peak, with two consecutive years of net losses) followed by an FY26 recovery back to profitability. On a quarterly basis, Q4 FY26 alone delivered revenue of Rs. 1,441cr (+37% YoY) at a 15.1% EBITDA margin — both stronger than the full-year average, indicating the recovery accelerated through the year (Source: Q4 FY26 concall, 29 Apr 2026).

Segment-wise Performance

Table 1 — By business segment, FY26 (Q4 FY26 concall, 29 Apr 2026):

Segment	% of FY26 Revenue	Note
Telecom & Citizen Networks	Core / majority (exact % not separately quantified)	Described as "core contributors"

Segment	% of FY26 Revenue	Note
Enterprise & Data Center	19%	Moderated YoY due to a decline in the copper business from higher LME copper prices; guided to scale to 30% in FY27

Table 2 — By geography, FY25 vs. FY26 (Q4 FY26 concall, 29 Apr 2026):

Region	FY25	FY26
North America	25%	39%
Europe	not separately quantified for FY25	~40% (described as "significant contributor")

YoY growth and segment margin were not separately disclosed for either basis.

Order Book

As-of Date	Order Book (Rs. cr)	Basis	Composition	Source
FY25 close	4,378	Open order book	Not broken out	Q4 FY26 concall, 29 Apr 2026
FY26 close	7,309	Open order book, +67% YoY	Rs. 1,468cr slated for Q1 FY27 execution; remainder Q2 FY27 and beyond	Q4 FY26 concall, 29 Apr 2026

Order **inflow** (new orders booked during the year, a different metric from the order book level) was Rs. 7,687cr in FY26 (+109% YoY from Rs. 3,672cr in FY25) — see Near Term outlook above. Separately, the ~USD 1.11bn hyperscaler framework announced ~23 May 2026 (after FY26 close) is a multi-year potential-value figure with periodic purchase orders, not yet reflected in the order-book figures above.

Manufacturing Locations & Physical Assets

The company states it operates "10+ zero waste manufacturing facilities worldwide," but only one specific location was named in the sources reviewed: a manufacturing facility in **South Carolina, USA**, cited as supporting the Neuralis product line for US hyperscaler customers. Notably, South Carolina is also the jurisdiction where the Prysmian trade-secret litigation was tried (see Legal & Litigation below), consistent with STL having a US manufacturing/operating presence there. No specific Indian plant locations, owned-vs-leased status, or built-up area figures were disclosed in the sources reviewed for this report.

Capacity Utilization & Headroom

No specific capacity utilization percentage was disclosed. Management explicitly declined to comment on utilization levels or forward capacity when asked directly: "I would not comment on specific utilization, but broadly, it's improved slightly" and, on a separate question about post-capex capacity, "Sorry, we are not going to be disclosing capacities going forward." Management did note that Q4 FY26's margin improvement was partly driven by "higher utilization" alongside product mix and operating leverage, without quantifying the level.

Total Addressable Market (TAM)

No single company-disclosed TAM figure (a market-size number specific to STL's addressable market) was given. Management did cite several third-party industry data points as demand-driver context, which are shown here as external market color rather than a company TAM estimate:

- Global data-center power capacity is expected to grow from current levels in 2025 to almost 115 gigawatts by 2030.
- Hyperscaler data-center capex is expected to increase to approximately USD 762 billion.

- 5G subscriptions are expected to reach 6.4 billion by 2030, carrying 80% of all mobile traffic.
- By 2030, nearly 70% of data-center demand is expected to be AI-led.
- Per CRU, global optical cable demand growth for 2026 was upgraded to ~6.8% YoY; North America is expected to deliver the strongest regional CAGR (15%) through 2030.
- In the US specifically, over 100 million homes are expected to be served by fiber by 2030.

Valuation — Forward PE

Not included. When directly asked for FY27 growth-rate or margin guidance on the Q4 FY26 call, management explicitly declined: "Actually, we do not provide this kind of guidance." The only forward figures management did commit to are a margin target (20% reported EBITDA by end of FY27) and a segment-mix target (30% Enterprise & Data Center), neither of which is an absolute revenue figure. Given management's own explicit refusal to provide the kind of guidance a forward PE calculation would require, this report omits the section rather than manufacture a proxy revenue figure that management did not provide.

Industry Tailwinds / Headwinds

Tailwinds

- **AI-led data-center buildout:** the dominant structural demand driver cited by management, with ~70% of data-center demand expected to be AI-led by 2030 and hyperscaler capex projected to reach ~USD 762bn (see TAM above).
- **US tariff relief:** US tariff impact on STL is reported to have moderated meaningfully from peak levels, with one Q&A reference to the full impact of a US tariff reduction "from 50% to 15%" still working through results.
- **US BEAD broadband program:** cited by ICRA (in its 7 Jul 2026 rating upgrade) as a tailwind supporting strong US optical fiber demand.
- **North America demand outpacing supply:** per CRU, demand is "consistently outpacing domestic supply in North America, keeping lead times tight" — a favorable pricing/volume dynamic for suppliers with US capacity.

Headwinds

- **Geopolitical input-cost pressure:** new near-term cost pressures from the war in West Asia are specifically impacting helium and polymer inputs used in fiber manufacturing.
- **Copper/LME price exposure:** the Enterprise & Data Center segment's FY26 revenue mix moderated due to a decline in the copper business linked to higher LME (London Metal Exchange) copper prices.
- **Germanium constraints:** cited alongside US tariffs as a factor behind stable-but-not-growing ex-China OFC market share (~8% in FY26).
- **Optical connectivity attach-rate moderation:** attach rates fell to 15% in FY26 from 22% in FY25, attributed by management to product mix/project timing and a higher OFC-revenue base — described as temporary, but a real near-term mix headwind.

Technical Snapshot

(As of approximately 10 July 2026 — this section goes stale within days; re-check before relying on it if this report is more than a week old. Note the exceptionally large recent price move flagged below.)

- Current price: Rs. 543 (screener.in, 10 Jul 2026).
- 14-day RSI: ~64 (bullish-leaning, not yet extreme).
- Price trading above the 5, 50 and 200-day moving averages; MACD positive/bullish.
- **Extraordinary recent price performance:** +478% over six months and +410% over one year, as of ~10 July 2026 — this is a very large move even relative to this report's other covered companies, and should be treated as a signal to independently verify the current price and any recent company-specific news before relying on this snapshot, rather than assumed to be a stable trend level.

Promoter / Governance Track Record

Only one guidance-vs-actual-style item has enough history to assess so far (first research run for this company): FY26 order inflow, which delivered a record Rs. 7,687cr, more than doubling YoY. There is not yet a multi-quarter track record to characterize a broader pattern, though it's worth noting management explicitly declines to give several categories of forward guidance (utilization, capacity, next-year growth/margin specifics) as a matter of stated policy — this is a communication-style fact, not evidence of unreliability.

Shareholding: Promoter shareholding stood at 42.29% as of July 2026 (screener.in), down from 44.44% in March 2026 and from 53.99% in September 2023 — a multi-year declining trend. FII holding rose sharply over the same recent window (11.47% in Mar 2026 to 19.71% in Jul 2026). No share pledge was shown in the sources reviewed, and no explanation for the promoter decline was found — stated without speculation on cause.

Promoter Fund Raises: No promoter/promoter-group preferential allotment, warrant issue, or promoter loan was found in the sources reviewed. Management confirmed a "QIP approval" referenced in the Q4 FY26 Q&A is a routine, year-on-year enabling shareholder resolution to preserve capital-raising flexibility, not tied to an identified funding requirement — so this is not logged as an active fund raise.

Credit Rating Snapshot: Both agencies covering STL have taken positive rating actions recently. CRISIL revised its outlook to Stable and reaffirmed CRISIL AA-/Stable on bank loan facilities (Rs. 4,045cr) and NCDs (Rs. 390cr), and CRISIL A1+ on commercial paper (Rs. 800cr), on 16 June 2026 — citing the Q4 FY26 turnaround, the order backlog, and the USD 1.1bn hyperscaler contract, with net leverage improving from 3.2x to 1.8x and interest coverage from 1.9x to 2.9x. ICRA then upgraded STL's long-term ratings from AA- to AA on 7 July 2026 (short-term ratings reaffirmed). No downgrade or negative/watch-negative outlook is currently in force from either agency — however, **both agencies' own rationales explicitly flag the pending Prysmian trade-secret litigation as a live risk factor**, discussed in full below.

Legal & Litigation: Two material matters are on record, with opposite outcomes. 1. **Prysmian Group vs. Sterlite Technologies Inc. (trade secret misappropriation)** — a South Carolina jury awarded Prysmian USD96.5mn (~Rs. 800cr+) on 9 August 2024, after Prysmian alleged a former executive who joined Sterlite in 2020 took confidential customer, product and manufacturing-expansion information. The District Court affirmed the verdict on 29 August 2025 (while denying Prysmian's request for prejudgment interest). Sterlite has publicly stated its intent to pursue further appeal; the sources reviewed do not show a final appellate resolution as of July 2026. **This should be read as an adverse judgment currently under appeal, not a closed or dismissed matter** — both CRISIL and ICRA's own rating rationales continue to flag it as an active risk. 2. **Sterlite Technologies vs. Fujikura (European patent dispute, EP 3796060)** — the EPO Technical Board of Appeal revoked Fujikura's patent in its entirety on 24 June 2026, a final and non-appealable ruling in STL's favor, resolving related UK litigation over STL's Celesta cable family in STL's favor. STL is now pursuing recovery of its legal defence costs. This is a favorable outcome, not a risk.

Key Risks

- **The Prysmian USD96.5mn adverse verdict is the single largest disclosed risk item covered in this report series to date.** At ~Rs. 800cr+, it is roughly 1.3x STL's FY26 EBITDA (Rs. 628cr) and over 14x FY26 PAT (Rs. 56cr) — a verdict of this scale, if ultimately upheld through appeal, would be financially material relative to STL's current earnings base. The company is appealing, and the final outcome and timeline are not yet known from the sources reviewed.
- **Explicit management non-disclosure on forward guidance, utilization and capacity:** management has stated it will not provide next-year growth/margin guidance, specific utilization figures, or post-capex capacity figures — this is a legitimate communication choice but means investors have less forward visibility from STL directly than from some peers in this report series, and this report's Forward PE section was omitted as a direct consequence.
- **Input-cost and geopolitical exposure:** helium and polymer cost pressure from the West Asia conflict, and germanium constraints, are both live near-term cost headwinds on the core fiber-manufacturing business.

- **Segment-mix dependency on the Enterprise & Data Center ramp:** the FY27 target of scaling this segment to 30% of revenue (from 19%) depends on continued hyperscaler capex and successful execution of the ~USD 1.1bn framework agreement — a single large, concentrated commercial relationship.
- **Copper/commodity price exposure:** the copper business's sensitivity to LME pricing has already dragged on Enterprise & Data Center segment revenue once in FY26 and remains a live exposure.
- **Declining promoter holding:** down from 53.99% (Sep 2023) to 42.29% (Jul 2026), with no disclosed explanation found in the sources reviewed.
- **Extreme recent share-price appreciation** (+410% over one year) increases the stock's sensitivity to any negative surprise, including on the Prysmian appeal, even though this is a market-price observation rather than a fundamental risk to the business itself.

Research summary of publicly available information only — the Q4 FY26 concall transcript, screener.in, CRISIL and ICRA rating actions, and third-party news coverage (for the post-call USD1.1bn contract announcement and the Prysmian/Fujikura litigation updates) as cited inline. This is not investment advice; consult a SEBI-registered investment advisor before making any financial decision.